Corning Incorporated

GLW | NYSE | Core operating-profit method retained

Q4 2027 modeled ceiling: USD 149.83

Exact saved ceiling: USD 149.8324819160194. Unchanged economic forecast and target; analytical Base 70 and Excel Base 70 remain unchanged.

Current Framework 8.0 evidence review; the existing September 18 operating assumptions and company-specific core-profit valuation method are retained.

Qualified connector assembly, labor, machinery and customer acceptance deserve more attention than raw-fiber mileage alone. The October 13 anonymous expert report distinguishes CPO-targeted FAU in 2027-2028 from broad in-rack scale-up jumper deployment in 2028. Its pricing and category shifts do not establish additional group sales above the current model.

20 x forward-four-quarter parent-economic core operating profit; USD billions x 1000 divided by 895 million ceiling-quarter diluted economic shares. Core is non-GAAP and includes currency-hedge adjustments. The existing minority allocation remains; no cash adjustment is introduced.

Active horizon	Earnings window	F4Q parent OP USD B	Multiple	Shares M	Ceiling USD
Q4 2027	Q4 2027 through Q3 2028	6.705003566	20 x	895.000000	149.832482

The old Q3 2027 horizon and Base 67 heading are superseded presentation. The current master already uses Q4 2027 and Base 70 after the October 7 override removal. This is neither a target upgrade nor a new Base change.

At the dated supplied-workbook quote of USD 165.680, this ceiling is 0.90 x the share price, about 9.6% lower. The owner's Upside Driver split is unavailable because the forward ceiling is below that price. This is a frozen model snapshot, not a live quote.

October 13 expert evidence: what it changes

Source S10 is the owner-supplied 11-page P Equity Research report, published October 13, 2026. The expert identity and actual interview date are unknown. The publisher labels the translation as AI/Claude and the discussion has China-market context. It is attributed expert/channel evidence, not an earnings release or issuer guidance. Root analysis read every original page. Undisclosed invoice quantities, geographic allocations, costs and exact timing remain LOW confidence.

Bottleneck increasingly sits in qualified connector assemblies, labor and customer acceptance. Raw fiber or tenfold jumper headlines do not set economic output. Scale-up timing remains 2028; early CPO FAU and outside-box enterprise are separate. Anonymous expert/date and translation limit confidence in precise pricing and volume.

Qualified assembly versus raw fiber

Attributed source claim: Bare-fiber capacity expands 120-130 M fiber-km in 2025, ~140 M in 2026, ~150 M in 2027/early 2028; +20 M per year in 2028/29. Claimed constraints are labor, machines, facilities and connector assembly.

Adopted treatment: Useful engineering risk context, not tenfold company fiber sales. Existing enterprise deployment/content growth requires qualified assembly; no extra units accepted or lost disclosed.

Bounded scope check: A 20 M fiber-km addition on a 150 M baseline is 13.3333% nominal capacity before utilization, partner scope, yields or product mix. Cannot multiply enterprise sales by this ratio. The 10 x claim concerns jumper-product output from an undisclosed jumper baseline, with much shorter jumpers (<5 m versus ~40-50 m).

Why the active increment is zero: Existing accepted-customer/deployment case covers growth; new raw-capacity data do not identify incremental saleable assemblies, utilization or invoice cohort beyond it.

Follow-up: Identify connector/assembly installed lines, skilled labor, qualified good assemblies/hour, accepted customer units and incremental operating costs.

FAU qualification: bounded sensitivity, zero saved increment

Attributed source claim: FAU/fiber-shuffle/guide-plate revenue ~USD 1-2 M in 2025, tens of millions in 2026 with Q4 ramp, significant 2027-28 conditional on CPO.

Root analytical probability: 60%. Analytical assessment of the attributed small 2026 qualification/ramp outcome; not certainty about invoice amount or a newly disclosed official forecast.

Adopted treatment: Diagnostic sensitivity only; no active incremental group invoice established. An enterprise-versus-Photonics classification difference can explain the current zero standalone 2026 Photonics vector while assembled components sit in the USD 1.520 B Q4 enterprise pool. That pool already grows USD 250 M versus Q2, and 2027 Photonics explicitly models early qualification at USD 700 M.

Bounded FAU diagnostic: USD 10-60 M conditional 2026 revenue, central 30 M. A provisional 75% overlap leaves 7.5 M sales; 40% gross profit less 20% incremental engineering/support/SG&A leaves 1.5 M conditional OP. Probability weighting gives 0.9 M diagnostic OP and a Q4 2026 ceiling sensitivity of USD 0.020111731844. This is not an applied forecast or target revision.

Why the active increment is zero: After a bounded proxy attempt, source does not reconcile FAU external invoices versus enterprise revenue, embedded fiber/assemblies and the existing customer/deployment growth. The 0.9 M OP illustration is not saved as an update; net company increment selected zero for unresolved boundary/overlap, not for absence of official confirmation.

Follow-up: Map recognized external FAU invoices and expense pool to issuer Enterprise/Photonics boundary; obtain same-period enterprise totals or a qualified customer acceptance schedule.

Different optical product clocks

Attributed source claim: Large in-rack scale-up jumper deployment not before 2028; CPO-targeted FAU can become significant in 2027-28.

Adopted treatment: Different products/timelines. Retain existing 2027 early-qualification Photonics USD 0.7 B and 2028 scale-up USD 2.9 B; no blanket 2027 Photonics delay inferred.

Why the active increment is zero: Current modeled main optical scale-up transition is Q2 2028 and customer acceptance Q4 2028. Expert explicitly permits 2027 CPO FAU; no contradictory schedule for the entire modeled Photonics cohort established.

Follow-up: Separate scale-out CPO, scale-up/NPO jumpers and inside-box FAU paid content and customer acceptance.

DCI reporting migration

Attributed source claim: USD 300-400 M self-built cloud DCI in 2026 moves Carrier to Enterprise, about 5-6% enterprise mix.

Adopted treatment: A source category migration moves equal existing revenue between Enterprise and Carrier; new group sales and group profit zero unless specific incremental invoices or product-cost/mix changes are evidenced.

Bounded scope check: At central USD 350 M, +350 M Enterprise and -350 M Carrier yields exactly 0 group revenue. Preserve the original product economics during a bookkeeping migration; do not mechanically assign 46-48% enterprise GM to former Carrier invoices.

Follow-up: Confirm classification rules and actual price/product-cost change; compare named-client contract draw to modeled Meta/Verizon/Zayo cohorts.

Fiber-km prices versus assembled-product ASP

Attributed source claim: A1 raw fiber USD 12 -> 16/fiber-km (+33.3333%); A2 USD 22-23; Carrier raw fiber USD 7 -> 11(+57.1429%).

Adopted treatment: Quotes are per fiber-km and separate product/customer cohorts, not all-MPO/full-cable/group ASP resets.

Bounded scope check: A 288-fiber 1 km cable contains 288 fiber-km; 288 x USD 16=USD 4,608 bare fiber. If bare fiber is 75% of that cable's price, full price USD 6,144/route-km. This is not USD 16/route-km. Applying 33.3333% to enterprise sales would wrongly reprice connectors/assembly/labor and long-term contracts. Current enterprise already compounds deployment/content and GM 45% -> 48-50%; carrier growth and margin expansion already embedded.

Why the active increment is zero: Unresolved A1/A2 eligible net invoice volume, reset contract mix, partner buyback cost, connector/assembly cost and overlap with existing mix/GM growth after bounded unit check. No broad ASP increment selected.

Follow-up: Matched qualified fiber-km, net group realized price/cost, contract reset dates and assembly cost on new/repriceable contracts.

MPO/MMC scope and denominator

Attributed source claim: RMB 5 B+2025 MPO/MMC market, ~50-60% annual growth; Enterprise 2025 USD 3.1-3.2 B, about 70% MPO.

Adopted treatment: China-context market and possible enterprise-business scope cannot be imported as global Corning company sales. RMB/USD, geography and product boundaries remain distinct. Product shares 70+15+10+5=100% within expert's own enterprise scope, not audited company segments.

Follow-up: Identify global versus China market and source enterprise denominator, avoid overlapping fiber/connector gross-content dollars.

Factory absorption and comparable segment

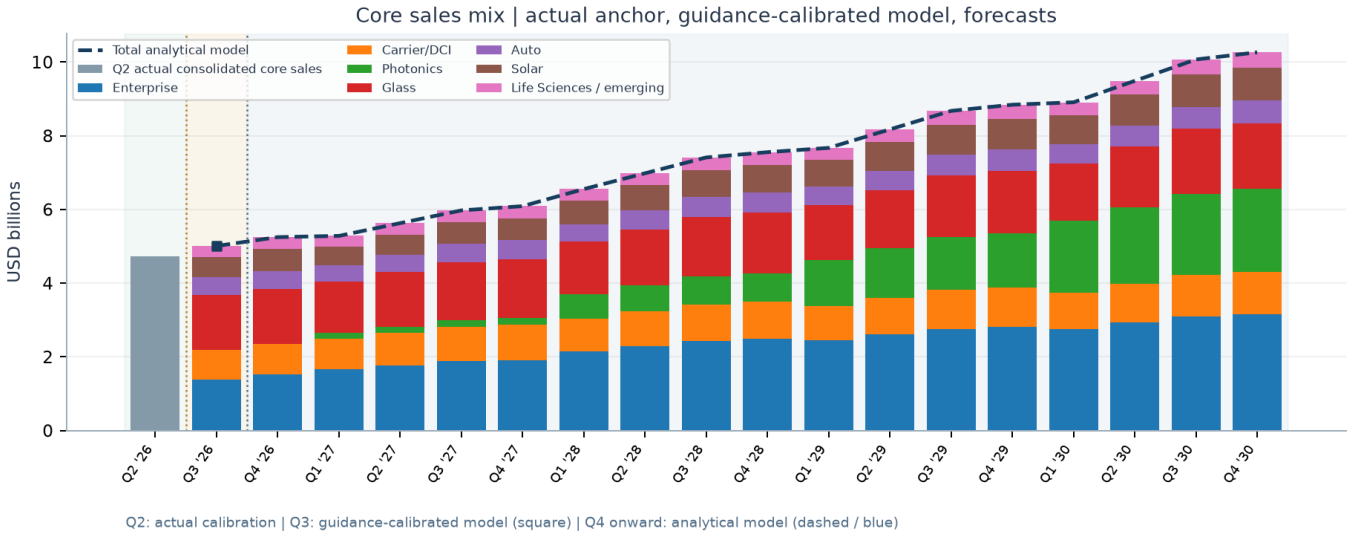
Attributed source claim: Solar shutdown for half a month to upgrade power/environment equipment caused a quarterly loss; improves with absorption; could exceed Display alone by 2029.

Adopted treatment: Existing solar ramp/margins already assume factory absorption. Comparison is Display alone, not the full Glass Innovations segment including Specialty Materials. No quantified new shutdown/accepted sales/cost relative to existing quarter model.

Follow-up: Exact shutdown quarter, incremental fixed costs and the comparable Display-only revenue scope.

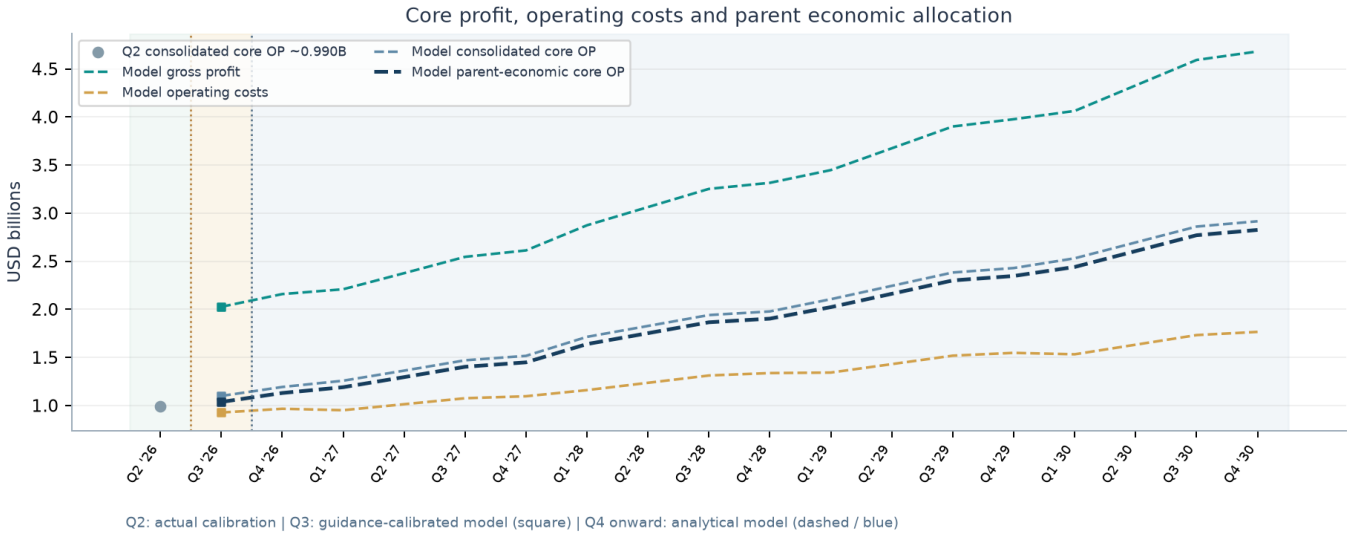
Active new revenue, gross profit and operating-profit increments from this source are all zero. No additional probability-weighted branch is inserted. The source sharpened risk and product-boundary interpretation; the bounded FAU diagnostic was not adopted as an economic update.

Current revenue model



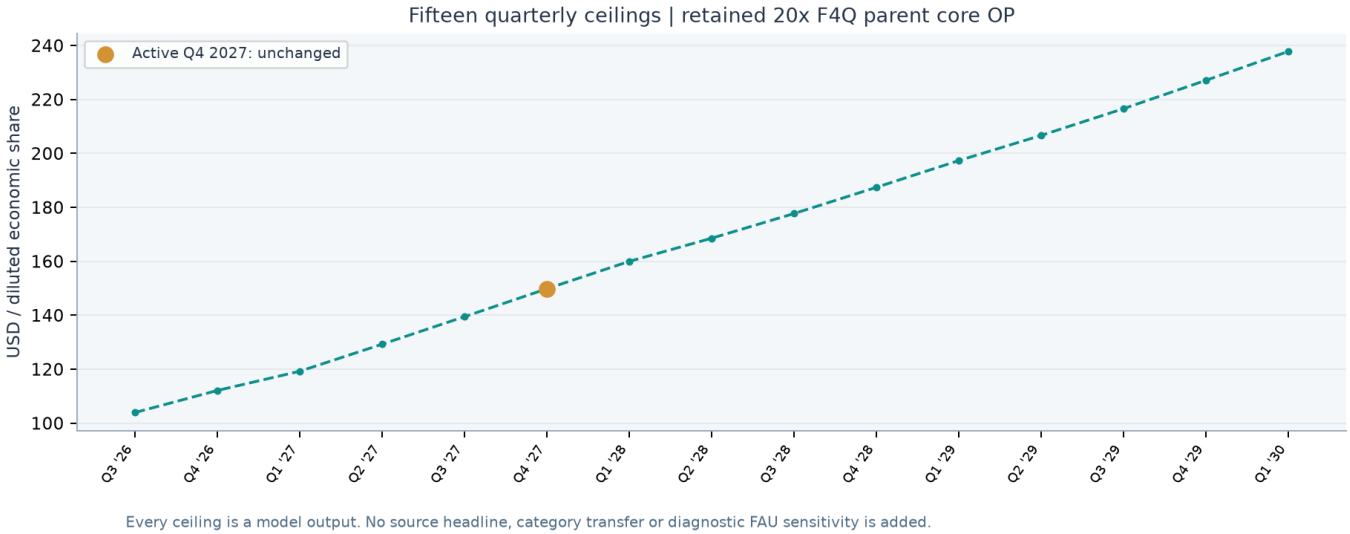
Q2 2026 core sales are the reported actual anchor. Q3 is a model calibrated to guidance and September commentary. Every later quarter is analytical forecast; product allocation and margins remain assumptions.

Current operating-profit model



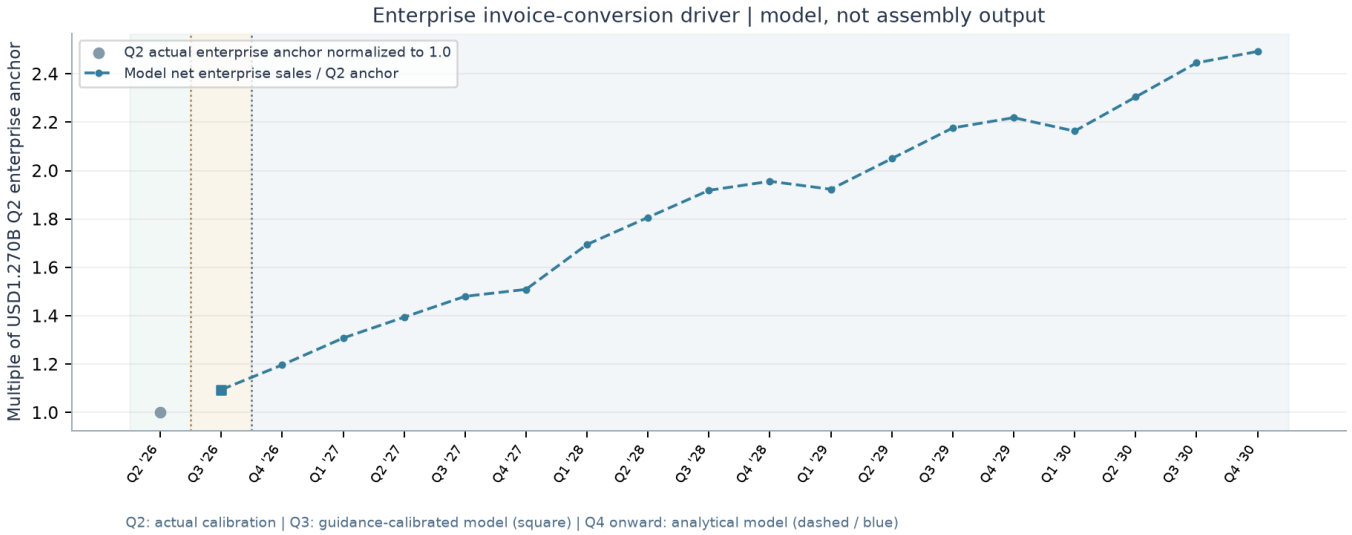
The actual Q2 point is approximate consolidated core OP. Forecast consolidated and parent-economic core OP are separate lines. Costs, customer warrant allowance and outside minority economics are retained exactly.

Current ceiling path



The active master horizon is already Q4 2027. All fifteen saved values and the 895 M ceiling-quarter share convention are unchanged. The chart is entirely model output.

Current enterprise driver



The driver is the exact existing net-enterprise conversion factor relative to the USD 1.270 B Q2 anchor. It is not fiber-km, an accepted-assembly count or a tenfold expansion assumption.

1. Supercycle, supply chain and durable advantage

Corning combines glass science, manufacturing scale and fiber-to-connector integration. AI cluster growth increases the demand for high-density optical solutions; moving optical links into scale-up networks and inside equipment creates additional content. Long-term customer agreements help fund capacity and protect returns, while diversified glass, auto and solar operations keep the listed company a conglomerate rather than a pure optical bottleneck.

Materials and preforms -> drawn fiber -> dense cables/connectivity and passive optical assemblies -> networks and AI equipment. Corning participates in several stages, so internal fiber transfers are eliminated. It does not capture semiconductor accelerator or full transceiver revenue. Glass, automotive and solar remain distinct operating exposures.

Business / curve	Stage	Evidence and next inflection
Enterprise optical	Scaling,20-40% qualitative band	Current growth predominantly scale-out; new network layers lift content.
Carrier/DCI	Mature fiber with a newer DCI expansion	Customer agreements accelerate capacity demand; timing remains project-specific.
Photonics	Pre-volume/early qualification, below 10% band	Inside-box passive optical assemblies; materially different adoption timing.
Solar	Factory ramp,10-30% band	Throughput and unit cost still determine profitability.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
2026-27 /100% thematic weight	Scale-out and committed manufacturing	Model current sales from the latest outlook; GPU deployment and richer connectivity raise enterprise demand.
2028-29 /50% thematic weight	Optical scale-up and Photonics	Management describes 1.3-1.5× optical content per GPU by 2028 and a 10 B Photonics business opportunity by 2030; these are different revenue boundaries.
2030+ /20% thematic weight	Inside-box adoption and new glass architectures	GlassBridge remains largely beyond 2030; no extra pre 2030 revenue layered over the Photonics line.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

Q2 core sales 4.738 B USD, core GM 39.6% and operating margin 20.9%; GAAP sales 4.505 B and operating margin 15.5%. Core OP is approximately 0.990 B. Segment sales reconcile: Optical 2.072 B, Glass 1.463 B, Auto 0.471 B, Solar 0.438 B and Life Sciences/emerging 0.294 B. Optical enterprise approximately 1.270 B leaves 0.802 B carrier. July Q3 guidance 4.9-5.0 B and core EPS 0.85-0.89 was followed by September commentary pointing to the sales range high end or slightly better. Model Q3 revenue 5.010 B and Q4 5.250 B. [S1/S2/S4]

Read the full April 28 and July 28 earnings-call presentations and Q&A, plus the September 9 Citi discussion. July management explicitly declined to guide 2027 Photonics sales and distinguished outside-box enterprise connectivity from inside-box passive photonics. September commentary improves near-term demand confidence but does not formally increase the 30 B/40 B long-term exit-rate targets. [S2/S3/S4]

Both latest complete earnings Q&A records and the later September conference were reviewed. Reported segment GM, exact contract drawdowns, account capex conversion and a 2027 Photonics revenue guide remain unavailable. Product economics, the minority bridge and contract-rebate schedule are transparent model assumptions.

4. Local evidence and calibration packet

AH 12: Meta, Amazon, NVIDIA, Verizon, Lumen and Zayo provide named demand/contract evidence. Exact Corning procurement shares, capex-to-connectivity spend and annual draw schedules are not public. Rather than treating entire hyperscaler budgets as fiber spend, calibrate eligible deployment/content indices to Q2 enterprise 1.270 B and carrier 0.802 B. This is a LOW-confidence demand proxy; no independent account-by-account capex model is claimed. Enterprise FY 2027 =1.270×4×1.25 deployed-compute factor×1.15 content/capture factor. Subsequent annual deployment factors 1.18/1.10/1.08 and content 1.10/1.03/1.03 are analyst assumptions. Carrier starts from 0.802×4, moves through a half-year 8% growth adjustment, then grows 8/6/6/6%. Orders and agreements support direction and capacity, not those exact growth rates. The model explicitly slows outside-box content growth later as the separately modeled Photonics line rises.

5. Summing thesis score

Category	Points / maximum	Evidence
Core Thesis	14/20	Customer-funded optical growth and integrated solutions; diversified operations cap purity.
Cycle Stage	9/10	Improved September trading and strong current optical growth.
TAM Expansion	9/10	Scale-out content, scale-up, inside-box Photonics and DCI.
Catalysts	4/5	Capacity additions, customer commitments and solar ramp.
Macro	8/10	AI and domestic manufacturing support; consumer/auto weaker.
Alpha	2/5	Timing and accounting separation improve a broadly public thesis.
Risks	-4	Four independent risk classes.

Sum: 42/60 × 100 = 70.000000%, conventionally rounded to 70%. The artifact analytical score and current Excel Base both remain 70; the October 7 owner override removal is preserved. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Seven external-sales vectors, with enterprise and carrier split inside Optical and new Photonics shown separately. Product GM is estimated and calibrated to the latest reported consolidated GM; segment net-income percentages are not mislabeled as gross margins. Customer warrant consideration reduces revenue and GP. Subtract corporate operating expenses and minority operating-profit allocation before valuing the parent economic share.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Enterprise	Q2 approximately 1.270 B	Q3/Q4 1.390/1.520 B; then calibrated deployment×content formula. Internal fiber is not separate sales. Deduct customer warrant consideration in 2027-29.	Estimated Q2 45%; H2 46/47%; annual 48/49/50/50% before rebate.
Carrier/DCI	Q2 residual 0.802 B	Q3/Q4 0.810/0.840 B; forward growth formula above. Verizon/Zayo/Lumen remain within this revenue rather than separate add-ons.	Q2 proxy 29.5%;30/30.5% H2;31/32/33/33% annual.
Photonics	No material Q2 revenue separately reported;0.01 B is scaling unit, not actual	2027-30 annual 0.7/2.9/5.5/8.5 B. These are modeled adoption steps toward the 10 B end-decade opportunity, not a 2027 management guide.	40/44/46/47%; low-volume 2027 incurs corporate R&D too.
Glass Innovations	Q2 1.463 B	H2 1.480 B each; annual 6.04/6.22/6.44/6.76 B assumes premium content offsets weak consumer units.	48% core GM estimate; hedge-adjusted basis.
Automotive	Q2 0.471 B	H2 0.475/0.480 B; annual 1.94/2.06/2.18/2.30 B; content offsets muted vehicle demand.	42% H2;42.5/43/43/43% annual.
Solar/polysilicon	Q2 0.438 B	H2 0.545/0.620 B; annual 2.22/2.80/3.14/3.40 B, approaching the disclosed 3 B business goal.	23/27% H2;2027 quarters 28/32/36/39% to reach mature economics late-year, then 40/42/43% annual.
Life Sciences/emerging	Q2 0.294 B	H2 0.310 B each; annual 1.25/1.34/1.43/1.54 B.	35% H2;35/36/37/38% annual.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. Enterprise optical, net of customer warrant allowance

Sources: S1/S2/S4 enterprise actual, content and capacity; S5 warrant consideration. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	1.270000	1.094488	1.390	46.000%	0.639
Q4 2026	1.270000	1.196850	1.520	47.000%	0.714
Q1 2027	1.270000	1.307933	1.661	47.421%	0.788
Q2 2027	1.270000	1.394183	1.771	47.457%	0.840
Q3 2027	1.270000	1.480433	1.880	47.488%	0.893
Q4 2027	1.270000	1.509183	1.917	47.498%	0.910
Q1 2028	1.270000	1.694755	2.152	48.342%	1.040
Q2 2028	1.270000	1.806707	2.295	48.383%	1.110
Q3 2028	1.270000	1.918660	2.437	48.419%	1.180
Q4 2028	1.270000	1.955977	2.484	48.430%	1.203
Q1 2029	1.270000	1.923063	2.442	49.432%	1.207
Q2 2029	1.270000	2.049905	2.603	49.467%	1.288
Q3 2029	1.270000	2.176747	2.764	49.498%	1.368
Q4 2029	1.270000	2.219028	2.818	49.508%	1.395
Q1 2030	1.270000	2.163522	2.748	50.000%	1.374
Q2 2030	1.270000	2.304621	2.927	50.000%	1.463
Q3 2030	1.270000	2.445720	3.106	50.000%	1.553
Q4 2030	1.270000	2.492753	3.166	50.000%	1.583

V2. Carrier optical and data-center interconnect

Sources: S7/S8 customer agreements and S2/S4 carrier commentary. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.802000	1.009975	0.810	30.000%	0.243
Q4 2026	0.802000	1.047382	0.840	30.500%	0.256
Q1 2027	0.802000	1.032579	0.828	31.000%	0.257
Q2 2027	0.802000	1.099922	0.882	31.000%	0.273
Q3 2027	0.802000	1.167264	0.936	31.000%	0.290
Q4 2027	0.802000	1.189711	0.954	31.000%	0.296
Q1 2028	0.802000	1.094534	0.878	32.000%	0.281
Q2 2028	0.802000	1.165917	0.935	32.000%	0.299
Q3 2028	0.802000	1.237300	0.992	32.000%	0.318
Q4 2028	0.802000	1.261094	1.011	32.000%	0.324
Q1 2029	0.802000	1.160206	0.930	33.000%	0.307
Q2 2029	0.802000	1.235872	0.991	33.000%	0.327
Q3 2029	0.802000	1.311537	1.052	33.000%	0.347
Q4 2029	0.802000	1.336759	1.072	33.000%	0.354
Q1 2030	0.802000	1.229819	0.986	33.000%	0.325
Q2 2030	0.802000	1.310024	1.051	33.000%	0.347
Q3 2030	0.802000	1.390230	1.115	33.000%	0.368
Q4 2030	0.802000	1.416965	1.136	33.000%	0.375

V3. Photonics inside the box

Sources: S2/S4/S6 Photonics opportunity and timing. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.010000	0.000000	0.000	0.000%	0.000
Q4 2026	0.010000	0.000000	0.000	0.000%	0.000
Q1 2027	0.010000	16.100000	0.161	40.000%	0.064
Q2 2027	0.010000	17.150000	0.171	40.000%	0.069
Q3 2027	0.010000	18.200000	0.182	40.000%	0.073
Q4 2027	0.010000	18.550000	0.185	40.000%	0.074
Q1 2028	0.010000	66.700000	0.667	44.000%	0.293
Q2 2028	0.010000	71.050000	0.711	44.000%	0.313
Q3 2028	0.010000	75.400000	0.754	44.000%	0.332
Q4 2028	0.010000	76.850000	0.768	44.000%	0.338
Q1 2029	0.010000	126.500000	1.265	46.000%	0.582
Q2 2029	0.010000	134.750000	1.347	46.000%	0.620
Q3 2029	0.010000	143.000000	1.430	46.000%	0.658
Q4 2029	0.010000	145.750000	1.458	46.000%	0.670
Q1 2030	0.010000	195.500000	1.955	47.000%	0.919
Q2 2030	0.010000	208.250000	2.083	47.000%	0.979
Q3 2030	0.010000	221.000000	2.210	47.000%	1.039
Q4 2030	0.010000	225.250000	2.252	47.000%	1.059

V4. Glass Innovations

Sources: S1/S2/S3 consumer/semiconductor products. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	1.463000	1.011620	1.480	48.000%	0.710
Q4 2026	1.463000	1.011620	1.480	48.000%	0.710
Q1 2027	1.463000	0.949556	1.389	48.000%	0.667
Q2 2027	1.463000	1.011483	1.480	48.000%	0.710
Q3 2027	1.463000	1.073411	1.570	48.000%	0.754
Q4 2027	1.463000	1.094053	1.601	48.000%	0.768
Q1 2028	1.463000	0.977854	1.431	48.000%	0.687
Q2 2028	1.463000	1.041627	1.524	48.000%	0.731
Q3 2028	1.463000	1.105400	1.617	48.000%	0.776
Q4 2028	1.463000	1.126658	1.648	48.000%	0.791
Q1 2029	1.463000	1.012440	1.481	48.000%	0.711
Q2 2029	1.463000	1.078469	1.578	48.000%	0.757
Q3 2029	1.463000	1.144498	1.674	48.000%	0.804
Q4 2029	1.463000	1.166507	1.707	48.000%	0.819
Q1 2030	1.463000	1.062748	1.555	48.000%	0.746
Q2 2030	1.463000	1.132057	1.656	48.000%	0.795
Q3 2030	1.463000	1.201367	1.758	48.000%	0.844
Q4 2030	1.463000	1.224470	1.791	48.000%	0.860

V5. Automotive

Sources: S1/S2 automotive content. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.471000	1.008493	0.475	42.000%	0.199
Q4 2026	0.471000	1.019108	0.480	42.000%	0.202
Q1 2027	0.471000	0.947346	0.446	42.500%	0.190
Q2 2027	0.471000	1.009130	0.475	42.500%	0.202
Q3 2027	0.471000	1.070913	0.504	42.500%	0.214
Q4 2027	0.471000	1.091507	0.514	42.500%	0.218
Q1 2028	0.471000	1.005945	0.474	43.000%	0.204
Q2 2028	0.471000	1.071550	0.505	43.000%	0.217
Q3 2028	0.471000	1.137155	0.536	43.000%	0.230
Q4 2028	0.471000	1.159023	0.546	43.000%	0.235
Q1 2029	0.471000	1.064544	0.501	43.000%	0.216
Q2 2029	0.471000	1.133970	0.534	43.000%	0.230
Q3 2029	0.471000	1.203397	0.567	43.000%	0.244
Q4 2029	0.471000	1.226539	0.578	43.000%	0.248
Q1 2030	0.471000	1.123142	0.529	43.000%	0.227
Q2 2030	0.471000	1.196391	0.564	43.000%	0.242
Q3 2030	0.471000	1.269639	0.598	43.000%	0.257
Q4 2030	0.471000	1.294055	0.609	43.000%	0.262

V6. Solar and semiconductor polysilicon

Sources: S1/S2/S4 solar commercialization. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.438000	1.244292	0.545	23.000%	0.125
Q4 2026	0.438000	1.415525	0.620	27.000%	0.167
Q1 2027	0.438000	1.165753	0.511	28.000%	0.143
Q2 2027	0.438000	1.241781	0.544	32.000%	0.174
Q3 2027	0.438000	1.317808	0.577	36.000%	0.208
Q4 2027	0.438000	1.343151	0.588	39.000%	0.229
Q1 2028	0.438000	1.470320	0.644	40.000%	0.258
Q2 2028	0.438000	1.566210	0.686	40.000%	0.274
Q3 2028	0.438000	1.662100	0.728	40.000%	0.291
Q4 2028	0.438000	1.694064	0.742	40.000%	0.297
Q1 2029	0.438000	1.648858	0.722	42.000%	0.303
Q2 2029	0.438000	1.756393	0.769	42.000%	0.323
Q3 2029	0.438000	1.863927	0.816	42.000%	0.343
Q4 2029	0.438000	1.899772	0.832	42.000%	0.349
Q1 2030	0.438000	1.785388	0.782	43.000%	0.336
Q2 2030	0.438000	1.901826	0.833	43.000%	0.358
Q3 2030	0.438000	2.018265	0.884	43.000%	0.380
Q4 2030	0.438000	2.057078	0.901	43.000%	0.387

V7. Life Sciences and emerging businesses

Sources: S1 quarterly residual. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	0.294000	1.054422	0.310	35.000%	0.108
Q4 2026	0.294000	1.054422	0.310	35.000%	0.108
Q1 2027	0.294000	0.977891	0.288	35.000%	0.101
Q2 2027	0.294000	1.041667	0.306	35.000%	0.107
Q3 2027	0.294000	1.105442	0.325	35.000%	0.114
Q4 2027	0.294000	1.126701	0.331	35.000%	0.116
Q1 2028	0.294000	1.048299	0.308	36.000%	0.111
Q2 2028	0.294000	1.116667	0.328	36.000%	0.118
Q3 2028	0.294000	1.185034	0.348	36.000%	0.125
Q4 2028	0.294000	1.207823	0.355	36.000%	0.128
Q1 2029	0.294000	1.118707	0.329	37.000%	0.122
Q2 2029	0.294000	1.191667	0.350	37.000%	0.130
Q3 2029	0.294000	1.264626	0.372	37.000%	0.138
Q4 2029	0.294000	1.288946	0.379	37.000%	0.140
Q1 2030	0.294000	1.204762	0.354	38.000%	0.135
Q2 2030	0.294000	1.283333	0.377	38.000%	0.143
Q3 2030	0.294000	1.361905	0.400	38.000%	0.152
Q4 2030	0.294000	1.388095	0.408	38.000%	0.155

7. Operating-cost bridge and quarterly operating model

Q2 disclosed 39.6% GM less 20.9% OP margin implies 18.7% operating expense. Estimated Q2 product GMs(enterprise 45%, carrier 29.5%, glass 48%, auto 42%, solar 15%, life 35%) reproduce roughly 39.6% consolidated GM, but do not establish reported segment GMs. Forecast 18.5/18.4% total opex H2, then 18/17.7/17.5/17.2% annually. Keep RD&E about 6 -> 5.5% and SG&A 12.5 -> 11.7%, including ordinary equity compensation. Core excludes specified acquisition/restructuring/currency items; this model is not GAAP OP. Customer warrant consideration is charged against enterprise revenue and GP, leaving production costs unchanged:0.296 B total conservatively scheduled 0.074/0.111/0.111 B in 2027-29. No remaining 2026 charge is added because the near-term issuer core guidance is already net sales; exact historical recognition and future draw schedules are unavailable, so this is a conservative gross allowance rather than a disclosed schedule.

Profit basis: Parent economic core operating-profit proxy; core is non-GAAP and includes currency-hedge adjustments. Amounts below are USD billions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit
Q3 2026	Model	5.010	2.026	18.500%	0.927	21.942%	1.099
Q4 2026	Model	5.250	2.159	18.400%	0.966	22.714%	1.193
Q1 2027	Model	5.284	2.209	18.000%	0.951	23.805%	1.258
Q2 2027	Model	5.629	2.376	18.000%	1.013	24.204%	1.363
Q3 2027	Model	5.975	2.546	18.000%	1.076	24.601%	1.470
Q4 2027	Model	6.091	2.613	18.000%	1.096	24.895%	1.516
Q1 2028	Model	6.554	2.874	17.700%	1.160	26.150%	1.714
Q2 2028	Model	6.983	3.063	17.700%	1.236	26.165%	1.827
Q3 2028	Model	7.412	3.252	17.700%	1.312	26.178%	1.940
Q4 2028	Model	7.555	3.315	17.700%	1.337	26.182%	1.978
Q1 2029	Model	7.671	3.448	17.500%	1.343	27.443%	2.105
Q2 2029	Model	8.174	3.674	17.500%	1.430	27.456%	2.244
Q3 2029	Model	8.676	3.901	17.500%	1.518	27.466%	2.383
Q4 2029	Model	8.843	3.977	17.500%	1.548	27.470%	2.429
Q1 2030	Model	8.909	4.063	17.200%	1.532	28.403%	2.530
Q2 2030	Model	9.490	4.328	17.200%	1.632	28.403%	2.695
Q3 2030	Model	10.071	4.593	17.200%	1.732	28.403%	2.861
Q4 2030	Model	10.265	4.681	17.200%	1.766	28.403%	2.916

Quarter	Main driver	Confidence
Q3 2026	September demand update	LOW model
Q4 2026	Sequential optical and solar growth	LOW model
Q1 2027	Capacity and new products	LOW model
Q2 2027	Enterprise customer deployments	LOW model
Q3 2027	Early Photonics qualification	LOW model
Q4 2027	Solar factory economics	LOW model
Q1 2028	Content per accelerator	LOW model
Q2 2028	Optical scale-up transition	LOW model
Q3 2028	Higher-density systems	LOW model
Q4 2028	Photonics customer acceptance	LOW model
Q1 2029	Capacity maturation	LOW model
Q2 2029	Carrier network deployments	LOW model
Q3 2029	New module productivity	LOW model

Quarter	Main driver	Confidence
Q4 2029	Mix and customer contracts	LOW model
Q1 2030	Broader photonics adoption	LOW model
Q2 2030	Integrated optical manufacturing	LOW model
Q3 2030	Capital-return discipline	LOW model
Q4 2030	Mature innovation economics	LOW model

OP = sum of product GP/contribution − explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

Retain 20× forward-four-quarter parent economic core OP, reflecting optical differentiation and customer support within a diversified company. The multiple is a framework judgment, not a market P/E comparison.

Use 895 M diluted economic shares throughout. July 24 issued shares 861.388331 M plus 3 M prefunded warrant shares,15 M traditional NVIDIA warrants and 15.611669 M other award/rounding allowance =895 M. The 875 M Q2 weighted-average diluted count already includes prefunded/award effects and is not used as a base to add those again. Full 15 M warrant treatment is conservative versus treasury-stock dilution; their 180 USD exercise price andMay 2029 expiry are explicit. Assume exercise within the horizon and retained shares thereafter, with no unannounced buyback offset. Warrant proceeds fund capacity and are not extra operating profit.

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1000; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

Minority earnings allocation

Q2 core noncontrolling net earnings were about 51 M USD. Approximate pre-tax parent allocation by 51/81.5%=62.58 M. Model 62.5 M each H2 quarter, then 67.5/75/82.5/90 M per quarter in 2027-30. This is an economic proxy, not a claim that minority net income equals operating profit. It avoids allocating 100% of consolidated operating earnings to common shareholders.

Quarter	Consolidated operating profit	Minority allocation proxy	Parent economic OP proxy
Q3 2026	1.099300	0.062500	1.036800
Q4 2026	1.192500	0.062500	1.130000
Q1 2027	1.257793	0.067500	1.190293
Q2 2027	1.362569	0.067500	1.295069
Q3 2027	1.470008	0.067500	1.402508
Q4 2027	1.516218	0.067500	1.448718
Q1 2028	1.713834	0.075000	1.638834
Q2 2028	1.827095	0.075000	1.752095
Q3 2028	1.940356	0.075000	1.865356
Q4 2028	1.978110	0.075000	1.903110
Q1 2029	2.105317	0.082500	2.022817
Q2 2029	2.244113	0.082500	2.161613
Q3 2029	2.382910	0.082500	2.300410
Q4 2029	2.429175	0.082500	2.346675
Q1 2030	2.530454	0.090000	2.440454
Q2 2030	2.695484	0.090000	2.605484
Q3 2030	2.860514	0.090000	2.770514
Q4 2030	2.915523	0.090000	2.825523

9. Complete rolling four-quarter ceiling derivation

Ceiling quarter	Exact earnings window	Forward 4 Q OP	Multiple	Diluted shares M	Ceiling USD
Q3 2026	Q3 2026 -> Q2 2027	4.652162	20×	895.000000	103.958923
Q4 2026	Q4 2026 -> Q3 2027	5.017870	20×	895.000000	112.131167
Q1 2027	Q1 2027 -> Q4 2027	5.336588	20×	895.000000	119.253357
Q2 2027	Q2 2027 -> Q1 2028	5.785128	20×	895.000000	129.276614
Q3 2027	Q3 2027 -> Q2 2028	6.242155	20×	895.000000	139.489499
Q4 2027	Q4 2027 -> Q3 2028	6.705004	20×	895.000000	149.832482
Q1 2028	Q1 2028 -> Q4 2028	7.159396	20×	895.000000	159.986496
Q2 2028	Q2 2028 -> Q1 2029	7.543379	20×	895.000000	168.567123
Q3 2028	Q3 2028 -> Q2 2029	7.952897	20×	895.000000	177.718368
Q4 2028	Q4 2028 -> Q3 2029	8.387950	20×	895.000000	187.440230
Q1 2029	Q1 2029 -> Q4 2029	8.831515	20×	895.000000	197.352297
Q2 2029	Q2 2029 -> Q1 2030	9.249153	20×	895.000000	206.684974
Q3 2029	Q3 2029 -> Q2 2030	9.693023	20×	895.000000	216.603869
Q4 2029	Q4 2029 -> Q3 2030	10.163127	20×	895.000000	227.108983
Q1 2030	Q1 2030 -> Q4 2030	10.641975	20×	895.000000	237.809503

Quarterly inflection labels

Ceiling quarter	Key inflection
Q3 2026	September demand update
Q4 2026	Sequential optical and solar growth
Q1 2027	Capacity and new products
Q2 2027	Enterprise customer deployments
Q3 2027	Early Photonics qualification
Q4 2027	Solar factory economics
Q1 2028	Content per accelerator
Q2 2028	Optical scale-up transition
Q3 2028	Higher-density systems
Q4 2028	Photonics customer acceptance
Q1 2029	Capacity maturation
Q2 2029	Carrier network deployments
Q3 2029	New module productivity
Q4 2029	Mix and customer contracts
Q1 2030	Broader photonics adoption

- **Q3 2026:** (1.036800 + 1.130000 + 1.190293 + 1.295069) × 20 × 1000 ÷ 895.000000 = **103.958923 USD/share**. Window: Q3 2026-Q2 2027.

- **Q4 2026:** (1.130000 + 1.190293 + 1.295069 + 1.402508) × 20 × 1000 ÷ 895.000000 = **112.131167 USD/share**. Window: Q4 2026-Q3 2027.

- **Q1 2027:** (1.190293 + 1.295069 + 1.402508 + 1.448718) × 20 × 1000 ÷ 895.000000 = **119.253357 USD/share**. Window: Q1 2027-Q4 2027.

- **Q2 2027:** (1.295069 + 1.402508 + 1.448718 + 1.638834) × 20 × 1000 ÷ 895.000000 = **129.276614 USD/share**. Window: Q2 2027-Q1 2028.

- **Q3 2027:** (1.402508 + 1.448718 + 1.638834 + 1.752095) × 20 × 1000 ÷ 895.000000 = **139.489499 USD/share**. Window: Q3 2027-Q2 2028.

- **Q4 2027:** (1.448718 + 1.638834 + 1.752095 + 1.865356) × 20 × 1000 ÷ 895.000000 = **149.832482 USD/share**. Window: Q4 2027-Q3 2028.

- **Q1 2028:** (1.638834 + 1.752095 + 1.865356 + 1.903110) × 20 × 1000 ÷ 895.000000 = **159.986496 USD/share**. Window: Q1 2028-Q4 2028.

- **Q2 2028:** (1.752095 + 1.865356 + 1.903110 + 2.022817) × 20 × 1000 ÷ 895.000000 = **168.567123 USD/share**. Window: Q2 2028-Q1 2029.

- **Q3 2028:** (1.865356 + 1.903110 + 2.022817 + 2.161613) × 20 × 1000 ÷ 895.000000 = **177.718368 USD/share**. Window: Q3 2028-Q2 2029.

- **Q4 2028:** (1.903110 + 2.022817 + 2.161613 + 2.300410) × 20 × 1000 ÷ 895.000000 = **187.440230 USD/share**. Window: Q4 2028-Q3 2029.

- **Q1 2029:** (2.022817 + 2.161613 + 2.300410 + 2.346675) × 20 × 1000 ÷ 895.000000 = **197.352297 USD/share**. Window: Q1 2029-Q4 2029.

- **Q2 2029:** (2.161613 + 2.300410 + 2.346675 + 2.440454) × 20 × 1000 ÷ 895.000000 = **206.684974 USD/share**. Window: Q2 2029-Q1 2030.

- **Q3 2029:** (2.300410 + 2.346675 + 2.440454 + 2.605484) × 20 × 1000 ÷ 895.000000 = **216.603869 USD/share**. Window: Q3 2029-Q2 2030.

- **Q4 2029:** (2.346675 + 2.440454 + 2.605484 + 2.770514) × 20 × 1000 ÷ 895.000000 = **227.108983 USD/share**. Window: Q4 2029-Q3 2030.

- **Q1 2030:** (2.440454 + 2.605484 + 2.770514 + 2.825523) × 20 × 1000 ÷ 895.000000 = **237.809503 USD/share**. Window: Q1 2030-Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	22.979	9.743	4.136	5.607	24.399%
2028	28.504	12.505	5.045	7.459	26.169%
2029	33.364	15.000	5.839	9.162	27.459%
2030	38.735	17.664	6.662	11.002	28.403%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

Annual net modeled sales 2027-30 are 22.979060 B, 28.504238 B, 33.363893 B, 38.734727 B. Most lines use 23/24.5/26/26.5% quarterly weights. Q4×4 is an exit rate, not the full-year sum. Compare modelQ4 2028 and 2030 annualized rates to management internal 30 B/40 B and high-confidence 27 B/35 B; this is a separately derived demand proxy and may exceed internal targets modestly. Management confidence measures are not converted into a blanket 30% revenue haircut. The $1 B customer deposit is financing/contract liability, not a $1 B revenue windfall.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q4 2027 shares M	Q4 2027 ceiling USD	Effect on ceiling
-5% shares	850.250000	157.718402	+5.26%
+0% shares	895.000000	149.832482	+0.00%
+5% shares	939.750000	142.697602	-4.76%
+10% shares	984.500000	136.211347	-9.09%

This isolates denominator uncertainty; it is not a second operating case or a newly adopted dilution change. The base case remains 895 M, and the current quarter display follows the existing master horizon.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Meta and other hyperscale LTAs	Signed relationships;90% delivery judgment	Meta up to 6 B over multiple years; complete schedules undisclosed	Embedded in enterprise, never add contract ceiling again	Customer acceptance and installed capacity.
Verizon	September signed supply agreement;90% delivery judgment	80+ million fiber miles 2027-32, multi-billion dollars undisclosed precisely	Embedded carrier growth; no invented annual order figure	Fiber miles versus route miles and timing.
Zayo	August agreement;85% execution judgment	Customer network plan 15,000 route miles through 2030	Within carrier; no extra quantified award	Permitting and customer rollout.
Photonics	Management opportunity;adoption timing LOW	10 B end-decade revenue opportunity	0.7/2.9/5.5/8.5 B annual path; no separate full-scale-up multiplier	Customer optical-port architecture and qualified supply chain.
NVIDIA warrants/customer support	Executed financing terms	3 M prefunded+15 M warrants;296 M revenue consideration	Dilution and revenue allowance explicitly included	Monitor exercise and revenue-recognition pattern.

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Capacity and qualification	-1	Connectivity and Photonics capacity must meet customer quality and schedule.
Architecture and adoption	-1	Faster SerDes, WDM and delayed optical scale-up can reduce content or defer sales.
Conglomerate and policy	-1	Consumer glass, auto and solar/policy performance can offset Optical.
Customer and accounting economics	-1	Concentration, contract rebates, minority stakes and currency methodology affect parent returns.

14. Dated catalysts, counters and escalation

1. **October 2026 results - Q3 trading update** Test 5.010 B core sales and solar recovery against September commentary.

2. **Late 2026 /2027 - New margin framework and solar ramp** Current management target remains at least 20% consolidated OP; test modeled improvement and late 2027 solar maturity.

3. **2027-28 - Photonics commercial qualification** Do not treat analyst 1 B 2027 suggestions as management guidance.

4. **Each quarter - Carrier and customer funding** Track deposits, revenue draws, warranted rebates and capacity; cash deposits can make quarterly FCF temporarily strong.

5. **By May 2029 - Warrant exercise or expiry** Refresh fully diluted denominator and funding assumptions.

15. Cross-book monitoring

Corning can supply passive connectivity alongside Fabrinet, MACOM and transceiver manufacturers, but their revenue layers are not interchangeable. Co-packaged optics can increase passive content while shifting packaging economics elsewhere. Verizon/Zayo demand also supports network equipment names without converting the full fiber contract into each supplier's revenue.

16. Source register and model limits

S1 - Q2 issuer financial results (2026-07-28). Core/GAAP totals, product sales and July guidance.

S2 - Complete Q2 management call and Q&A (2026-07-28). Architecture boundaries, pricing, Photonics timing and no 2027 numeric Photonics guide.

S3 - Complete Q1 management call and Q&A (2026-04-28). Solar ramp, customer risk sharing and new segment reporting.

S4 - Citi management discussion transcript (2026-09-09). Updated Q3 outlook, carrier visibility, capacity and technology timing. Use spoken transcript, not erroneous introductory year/run-rate summary.

S5 - Q2 Form 10-Q (2026-07-30). Dilution, minority earnings, warrant revenue reduction and new hedge accounting.

S6 - Issuer Springboard extension (2026-05-06). Internal versus high-confidence annualized exit-rate plans.

S7 - Verizon customer supply agreement announcement (2026-09-08). 80+ million fiber miles 2027-32; exact annual dollars and allocation undisclosed.

S8 - Corning/Zayo agreement (2026-08-20). Supports 15,000 route miles through 2030; contract value not disclosed.

S9 - NVIDIA warrant agreement filing (2026-05-06). 3 M prefunded shares and 15 M traditional warrants; exercise terms and funding.

The 10× fiber illustration assumes fully optical scale-up and is not applied as an automatic multiplier. Fiber miles are not route miles. Customer deposits, warrants and contract ceilings are not additive sales. Product GM and outer-year deployment factors are estimates. Core currency presentation changed prospectively inApril 2026; historical core growth is not a fully restated constant-basis comparison.

Linked production workbook: v3_2_master_portfolio.xlsx, model tab GLW_Q_Model. It owns portfolio ranking, prices and return calculations; those remain outside this artifact. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\GLW_Corning_DeepDive.md. **Original snapshot:** versions/originals/GLW_Corning_DeepDive.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.

S10 - New source register and provenance

Owner-supplied original: P Equity Research - Expert Call _ Corning.pdf. Publication October 13, 2026; expert and interview date unknown; AI/Claude translation identified by publisher. All 11 full pages were read and retained. It is expert/channel evidence, not a management forecast or earnings event.

Original PDF SHA-256: 1264ecee8d5261838fe5abb748564eb5711b18e492f48d61dabd5da9f0768d95

The full-page source appendix below preserves every original image, question, qualifier and disclosure. Source quantities remain attributed source claims. They do not become model assumptions merely by appearing in an embedded page.

Original expert-source page 1

Expert Call | Corning

P EQUITY RESEARCH
OCT 13, 2026 PAID



Questions:

1. What is Corning's annual optical fiber capacity plan from 2025 to 2030?
2. What does the NVIDIA-backed 10x expansion plan involve, how fast will it be implemented, and what is the impact on fiber capacity?
3. MPO jumpers and similar products appear to use a lot of fiber in data centers. Why do you judge that fiber supply will not fall short?
4. What is Corning's strategy and ratio for in-house production versus outsourced fiber purchasing?

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5. What are the size and expected growth of the MPO and MMC connector and jumper market?
6. Can you break down how the product revenue mix of the Enterprise Network segment in Corning's optical communications business changes around 2026?
7. In the enterprise business, what is the approximate revenue of trunk cables and other products apart from connectors?
8. How much fiber capacity does the enterprise business occupy?
9. What is the average selling price of trunk cables sold in the enterprise business, and what is its value composition?
10. Which type of fiber does the enterprise business mainly use now, and what is the price trend?
11. How is Corning's business in optical components such as FAU progressing, and what is the revenue?
12. Which market segment is Corning's FAU product mainly aimed at?
13. What is the Q4 2026 outlook for Corning's optical communications business, and does the usual seasonality still apply compared with prior years?
14. Is there a plan to shift carrier-business capacity to the higher-margin enterprise business?
15. What will the long-term growth rate of the carrier business be?
16. What were carrier-side fiber prices in 2025 and 2026? Can the price increases keep pace with the enterprise side?
17. What customer types does the carrier business include, and has the customer mix changed recently?
18. What is the current profitability of Corning's solar and life sciences businesses, and when is profit expected to turn positive?

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Summary:

Fiber Capacity & Supply Dynamics

- **Capacity Plan (2025–2030):** Expected capacity is **120–130 million fkm** in 2025, rising to **~140 million fkm** in 2026, and **150 million fkm** in 2027–early 2028. Starting in 2028, capacity will increase by **20 million fkm each year** (in both 2028 and 2029).
- **NVIDIA 10x Expansion:** Focuses on optical interconnect jumpers inside data center racks to replace copper. The expansion will proceed slowly as large-scale deployment won't happen before 2028. It adds little direct demand for raw fiber capacity, as jumpers use short lengths (under 5m average in future scenarios) and production bottlenecks stem from labor, machinery, and facilities rather than fiber availability.
- **In-House vs. Outsourced Production:** Corning does not buy bare fiber from third parties. When extra capacity is needed, it uses contract manufacturers supplied with Corning's own preforms.

Enterprise Network Segment

- **Market Growth & Size:** The MPO/MMC connector and jumper market reached **RMB 5+ billion in 2025**, growing **50%–60% annually**, a pace expected to continue through 2029–2030.
- **Revenue Breakdown (2025 Total: ~$3.1–3.2B):**
  - **MPO/Connector Products:** ~70% (~$2.2–2.3B).
  - **Trunk Cables & Derivative Products:** ~15%.
  - **Module Boxes & Cable Trays:** ~10% and ~5%, respectively.
- **Shift Starting in 2026:** Cloud providers building their own data center interconnects will add **$300–400M** in revenue (~5%–6% of the enterprise mix) and grow from there.
- **Fiber Consumption:** Enterprise products account for **~30% of Corning's total fiber demand** (connector products take ~25%).

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Product Specs, Pricing, & Emerging Tech

- **Trunk Cables:** High-priced (several thousand USD/km for 288-fiber cables). Single-mode fiber accounts for **~75% of total cable value**.
- **Fiber Types & Prices:** Enterprise relies primarily on single-mode fiber (multimode is declining).
  - **Ultra A1 Fiber:** Rose from **$12/fkm** (end of 2025) to **$16/fkm** (2026). Higher-grade A2 fiber runs **$22–23/fkm**.
- **Optical Components (FAU/CPO):** Minimal sales in 2025 (~$1–2M in R&D). Expected to reach **tens of millions in 2026** (ramping Q4). FAU targets Co-Packaged Optics (CPO) rather than pluggable modules, with significant scale expected around 2027–2028.

Carrier Business

- **Capacity & Market Strategy:** Corning holds a **~70% market share** in US carrier supply and will not shift capacity away to higher-margin enterprise areas to avoid market disruption.
- **Pricing & Growth:** Carrier fiber prices rose from **~$7 (2025)** to **~$11 (2026)**, but carriers are more price-sensitive than enterprise customers. Long-term growth will be steady rather than explosive due to ongoing US network buildout needs.
- **Customer Mix Shift:** In 2026, tech giants (e.g., Meta, Google) building self-owned data center networks moved from being classified under Carrier (interconnect) to the Enterprise segment.

Non-Optical Segments (Solar & Life Sciences)

- **Solar:** A strategic focus area. Temporary Q2 2026 losses were caused by factory upgrades rather than core weakness (Q1 2026 was profitable). Projected to grow strongly and potentially surpass the Display business by **2029**.
- **Life Sciences:** Represents a very small part of the portfolio with negligible impact on overall financial results.

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Expert: N/A

Date: N/A

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Reminder: *The context of the expert below is from the point of view of China's market.*

Q1. What is Corning's annual optical fiber capacity plan from 2025 to 2030?

2025 fiber capacity is expected to be between 120 and 130 million fiber-kilometers (fkm). In 2026, working with partners, peak capacity can reach roughly 140 million fkm. Capacity rises to 150 million fkm in 2027 and stays at that level into early 2028. From 2028, capacity will increase by about 20 million fkm, and in 2029 by a further 20 million fkm on top of that.

Q2. What does the NVIDIA-backed 10x expansion plan involve, how fast will it be implemented, and what is the impact on fiber capacity?

The expansion mainly targets optical interconnect jumper (patch cord) products used inside data center racks, intended to replace existing copper connections and meet the needs of future Scale-up architectures. The "10x" capacity increase is measured against Corning's original jumper product volume. Because NVIDIA's Scale-up architecture will not be deployed at large scale before 2028, the expansion will not proceed quickly. The plan creates little direct demand for fiber capacity; the additional 20 million fkm of fiber capacity added each year is

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already sufficient and may even be surplus. Jumper manufacturing is labor-intensive, and its bottlenecks are labor, machinery and factory facilities rather than the fiber itself.

Q3. MPO jumpers and similar products appear to use a lot of fiber in data centers. Why do you judge that fiber supply will not fall short?

As the world's largest fiber manufacturer, Corning can flexibly adjust expansion plans to project needs and make full use of idle capacity, so its own fiber supply is not a constraint. Data center jumper business differs markedly from carrier business in how it consumes fiber. Carrier business involves long transmission distances and consumes enormous fiber mileage. Jumper business, by contrast, is growing quickly in sales, but its core is the MPO connector manufacturing process and it consumes relatively little fiber mileage. Jumpers inside data centers average only about forty to fifty meters, and in future Scale-up scenarios the average will be under 5 meters. These are short-reach applications, so this is not an especially fiber-intensive use case.

Q4. What is Corning's strategy and ratio for in-house production versus outsourced fiber purchasing?

Corning does not purchase fiber from other brands. In particular cases where it foresees that its own capacity may be insufficient, Corning uses a contract-manufacturing model with partners: it supplies its own preforms to a partner, who draws them into fiber that Corning then buys back. Fiber obtained this way originates from Corning's own preforms and is therefore not considered external purchasing.

Q5. What are the size and expected growth of the MPO and MMC connector and jumper market?

The MPO and MMC jumper market, including the fiber, was about RMB 5+ billion in 2025. Average annual growth in recent years has held at roughly 50% to 60%. MMC currently accounts for a small share of the

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market. Given the demand expected to be unleashed by future Scale-up scenarios, this rapid growth is expected to continue until at least 2029-2030.

Q6. Can you break down how the product revenue mix of the Enterprise Network segment in Corning's optical communications business changes around 2026?

Before 2026, the Enterprise Network segment mainly comprised four product categories: MPO products, data center trunk cables, MPO adapter module boxes, and MPO cable trays. The approximate revenue mix was: MPO products 70%, trunk cables 15%, module boxes 10%, and fiber cable trays 5%. From 2026, as cloud providers increasingly build their own data center interconnects, the product mix is changing. In 2026, the market created by cloud providers' self-built interconnects is expected to reach US$300-400 million. This business will account for roughly 5% to 6% of the existing mix and continue to grow from that starting point.

Q7. In the enterprise business, what is the approximate revenue of trunk cables and other products apart from connectors?

In 2025, total enterprise revenue was about US$3.1-3.2 billion. Of this, MPO-type connector products accounted for about US$2.2-2.3 billion, or roughly 70%. The remainder consists of fiber derivative products such as trunk cables; the enterprise business does not sell bare fiber directly.

Q8. How much fiber capacity does the enterprise business occupy?

In terms of fiber consumption, the ratio between carrier business and enterprise business is about 7:3. Within the enterprise business, products such as MPO and trunk cables occupy fiber capacity, but the combined share is modest, at around 30% of the company's total fiber demand. Products such as module boxes, jumpers and cable trays do

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not occupy fiber capacity. Specifically, connector-type products occupy about 25% of fiber capacity.

Q9. What is the average selling price of trunk cables sold in the enterprise business, and what is its value composition?

Trunk cable pricing depends on customer requirements and is relatively high. For example, a 288-fiber data center trunk cable costs roughly several thousand US dollars per kilometer. These products mainly use single-mode fiber. In terms of value composition, the fiber itself is the main component, at about 75% of the total cable value. For example, if 1 km of 288-fiber cable uses single-mode fiber priced at US$16 per fiber-km, the fiber value is 288 x US$16, and the cable's price can be roughly estimated by dividing that fiber value by 75%.

Q10. Which type of fiber does the enterprise business mainly use now, and what is the price trend?

The vast majority of the enterprise business uses single-mode fiber. Multimode fiber is no longer mainstream in US data center interconnect solutions, and its use is declining. Taking Corning's Ultra A1 single-mode fiber as an example, the current (2026) price is US$16 per fiber-km, versus about US$12 per fiber-km for the same product at the end of 2025. For the enterprise business, if higher-grade A2 fiber is used, the price may be US$22-23 per fiber-km. Price increases in the US market are expected to be milder than in China.

Q11. How is Corning's business in optical components such as FAU progressing, and what is the revenue?

Corning has a portfolio of optical components including FAU, fiber shuffle and guide-plate fiber. In 2025 this business generated essentially no sales, only about US$1-2 million, which is negligible, and was mainly in the R&D stage. In 2026, especially in Q4, as some projects begin to ramp, optical component revenue is expected to reach the tens of

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millions of dollars. If CPO (co-packaged optics) technology is successfully deployed in 2027-2028, the scale of this business will become significant.

Q12. Which market segment is Corning's FAU product mainly aimed at?

Corning's FAU is mainly aimed at CPO (co-packaged optics) applications, which is fundamentally different from the FAU used in pluggable optical modules. A real market for CPO FAU has not yet formed, because downstream end products such as CPO-equipped switches have not been launched, so it cannot be measured by market share.

Q13. What is the Q4 2026 outlook for Corning's optical communications business, and does the usual seasonality still apply compared with prior years?

Under normal circumstances Q4 results are better than Q3. However, Q2 and Q3 are the absolute peak season in the US market. In 2025, results grew continuously because the data center business was in a period of explosive growth. Q4 2026 will most likely continue to grow, but this is not a fixed pattern every year. On a quarterly basis there is uncertainty; for example, the carrier business performed poorly in Q2 2026, but may stand out in Q3 owing to the timing of order recognition.

Q14. Is there a plan to shift carrier-business capacity to the higher-margin enterprise business?

Carriers are price-sensitive, and negotiation cycles after price adjustments are generally long, which may affect project implementation and cause actual growth to fall short of expectations. The company will not shift carrier capacity to the enterprise side. Although the enterprise business is more profitable, and Corning will work to secure more capacity for its projects, the carrier business must

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be retained. Corning is the main supplier to the US carrier market with a share of about 70%, and ceasing supply would severely disrupt the market, so it must keep operating this business even at lower margins.

Q15. What will the long-term growth rate of the carrier business be?

Growth in this business fluctuates between stronger and weaker years, and will not see the explosive 40% to 50% growth seen in AI-related businesses. However, it will not decline, because the US still has a great deal of room to build out traditional fiber networks, unlike China, South Korea or the Middle East, where network buildout is already very complete.

Q16. What were carrier-side fiber prices in 2025 and 2026? Can the price increases keep pace with the enterprise side?

In 2025, carrier-side fiber prices were about US$7; by 2026 they had risen to about US$11. However, the pace of increase will not necessarily keep up with the enterprise side. Carriers are highly price-sensitive, price-increase negotiations are difficult, and projects may be delayed as a result. By contrast, enterprise customers accept price adjustments more readily. Fiber accounts for only about 1% of total data center investment, yet it is critical to keeping expensive equipment such as GPUs and storage running, so communication with enterprise customers is smoother.

Q17. What customer types does the carrier business include, and has the customer mix changed recently?

The carrier business mainly includes two types of customers. The first is traditional carriers providing personal and metropolitan telecom services, such as AT&T, Verizon and T-Mobile. The second is data center interconnect carriers that run backbone networks and lease them to data centers, such as Lumen and Consolidated. Before 2026, customers like Lumen belonged to the carrier business. From 2026 this changed:

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large tech companies such as Meta and Google have begun building their own data center interconnect networks, and this business is classified as enterprise business rather than carrier business.

Q18. What is the current profitability of Corning's solar and life sciences businesses, and when is profit expected to turn positive?

Solar is a key area of focus for the company. Earlier losses did not stem from poor performance of the business itself, but from costs exceeding revenue because of newly built factories. Once the upfront investment is absorbed, revenue will cover costs and keep improving, and the outlook is very bright. This business is expected to eventually surpass the display business and become the company's second-largest business. The company has recently reorganized, merging the display and specialty materials businesses into a Glass Innovation segment; it is now harder for solar to overtake the entire merged segment, but compared with display alone it could potentially overtake it as early as 2029. As for turning profitable, Q1 2026 was profitable, while Q2 showed a loss mainly because the factory was shut down for half a month for power and environmental upgrades. With the upgrades complete, profitability is expected to improve. The life sciences business is very small and recent projects may be performing poorly, but the impact on overall results is minor.

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